

Class 4: Analyzing Transactions and Events (2/2)

PRACTICE QUESTIONS: SOLUTIONS

These practice questions are designed to help improve your understanding of the course material. The questions referenced in this document can be found at the **end of each chapter in your textbook**.

Use the **Table of Contents** below to identify the list of questions and the **suggested time** for completing each one. When using this resource:

- ☐ **Do the exercises soon after the lecture** and ideally **before tutorials**. Studies on learning show that practicing material shortly after it's introduced improves understanding and retention. Spacing out your practice and reviewing regularly also strengthens long-term memory.
- ☐ **Attempt the exercises first** without looking at the solutions or debriefing notes. This will help you simulate real exam conditions and identify areas where you may need further practice.
- ☐ Be **conscious of the suggested time** for each question. Staying aware of time management is a valuable skill for exams.
- ☐ After completing the exercises, use the solutions provided to **debrief your work**. Compare your answers, understand any mistakes, and learn from them to solidify your understanding of the concepts.

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CH. 3 | ADJUSTING ACCOUNTS FOR FINANCIAL STATEMENTS**M3-22 (ab) (~ 15 min)**

a.

Transaction	Balance Sheet					Income Statement		
	Cash Asset	+ Noncash Assets	= Liabilities	+ Contrib. Capital	+ Earned Capital	Revenues	- Expenses	= Net Income
April 1. Invested \$9,000 in cash.	+9,000 Cash		=	+9,000 Share Capital		-		=
April 2. Paid \$2,850 cash for lease.	-2,850 Cash	+2,850 Prepaid Van Lease	=			-		=
April 3. Borrowed \$10,000.	+10,000 Cash		= +10,000 Note Payable			-		=
April 3. Purchased \$5,500 equipment for \$2,500 cash with rest on account.	-2,500 Cash	+5,500 Equipment	= +3,000 Accounts Payable			-		=
April 4. Paid \$4,300 cash for supplies.	-4,300 Cash	+4,300 Supplies	=			-		=
April 7. Paid \$350 cash for ad.	-350 Cash		=		-350 Retained Earnings	-	+350 Ad. Expense	= -350
April 21. Billed \$3,500 for services		+3,500 Accounts Receivable	=		+3,500 Retained Earnings	+3,500 Cleaning Fees Earned	-	= +3,500
April 23. Paid \$3,000 cash on account.	-3,000 Cash		= -3,000 Accounts Payable			-		=
April 28. Collected \$2,300 on account.	+2,300 Cash	-2,300 Accounts Receivable	=			-		=
April 29. Paid \$1,000 cash dividend.	-1,000 Cash		=		-1,000 Retained Earnings	-		=
April 30. Paid \$1,750 cash for wages.	-1,750 Cash		=		-1,750 Retained Earnings	-	+1,750 Wages Expense	= -1,750
April 30. Paid \$995 cash for gas.	-995 Cash		=		-995 Retained Earnings	-	+995 Van Fuel Expense	= -995
TOTALS	4,555	+ 13,850	= 10,000	+ 9,000	+ -595	3,500	- 3,095	= 405

b.

April	Account & Explanations	Debit	Credit
1	Cash (+Assets) Share Capital (+Shareholders' equity) <i>Owner invested cash flow shares</i>	9,000	9,000
2	Prepaid van lease (+Assets) Cash (-Assets) <i>Paid six months' lease on van</i>	2,850	2,850
3	Cash (+Assets) Notes payable (+Liabilities) <i>Borrowed money from bank for one year at 10% interest</i>	10,000	10,000
3	Equipment (+Assets) Cash (-Assets) Accounts payable (+Liabilities) <i>Purchased \$5,500 of equipment; paid \$2,500 down with balance due in 30 days</i>	5,500	2,500 3,000
4	Supplies (+Assets) Cash (-Assets) <i>Purchased supplies for cash</i>	4,300	4,300
7	Advertising expense (+Expenses, -Shareholders' equity) Cash (-Assets) <i>Paid for April advertising</i>	350	350
21	Accounts receivable (+Assets) Cleaning fees earned (+Revenues, +Shareholders' equity) <i>Billed customers for services</i>	3,500	3,500
23	Accounts payable (-Liabilities) Cash (-Assets) <i>Payment on account</i>	3,000	3,000
28	Cash (+Assets) Accounts receivable (-Assets) <i>Collections from customers on account</i>	2,300	2,300
29	Retained earnings (-Shareholders' equity) Cash (-Assets) <i>Issued cash dividends</i>	1,000	1,000
30	Wages expense (+Expenses, -Shareholders' equity) Cash (-Assets) <i>Paid wages for April</i>	1,750	1,750
30	Van fuel expense (+Expenses, -Shareholders' equity) Cash (-Assets) <i>Paid for gasoline used in April</i>	995	995

M3-25 (a, b) (~ 15 min)

Canadain Tire (All amounts in C\$ millions.)

a.

Transaction	Balance Sheet					Income Statement		
	Cash Asset	+	Noncash Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses = Net Income
Inventory purchases (total).			+8,041 Inventory	=	+8,041 Accounts Payable			
						-		=

- b. Beginning AP balance + Purchases – Payments = Ending AP balance.
 So \$2,425 + \$8,041 - Payments = \$2,492. Thus Payments = \$7,974

M3-26 (~ 10 min)

TANGO SERVICES COMPANY Statement of Changes in Equity For Year Ended December 31, 2020			
	Share Capital	Retained Earnings	Total Equity
Balance at December 31, 2019 ..	\$30,000	\$18,000	\$48,000
Share issuance	6,000		6,000
Dividends		(9,700)	(9,700)
Net income		<u>29,900</u>	<u>29,900</u>
Balance at December 31, 2020 ..	<u>\$36,000</u>	<u>\$38,200</u>	<u>\$74,200</u>

E3-32 (a, b, items 1,2,3,6,7) (~ 20 min)**a.**

	Balance Sheet										Income Statement						
Transaction	Cash Asset	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income	
1. Adjusting entry for depreciation: equipment.					+610 Accumulated Depreciation	=					-610 Retained Earnings		-	+610 Depreciation Expense	=	-610	
2. Adjusting entry for supplies expense.			-1,890 Supplies	-		=					-1,890 Retained Earnings		-	+1,890 Supplies Expense	=	-1,890	
3. Adjusting entry for utilities expense.				-		=	+390 Utilities Payable				-390 Retained Earnings		-	+390 Utilities Expense	=	-390	
4. Adjusting entry for rent expense.			-700 Prepaid Rent	-		=					-700 Retained Earnings		-	+700 Rent Expense	=	-700	
5. Adjusting entry for premium revenues.				-		=	-468 Unearned Premium Revenue				+468 Retained Earnings	+468 Premium Revenue		-		=	+468
6. Adjusting entry for wage expense.				-		=	+965 Wages Payable				-965 Retained Earnings		-	+965 Wage Expense	=	-965	
7. Adjusting entry for interest earned.			+300 Interest Receivable	-		=					+300 Retained Earnings	+300 Interest Income		-		=	+300
TOTALS	0	+	-2,290	-	610	=	887	+	0	+	-3,787	768	-	4,555	=	-3,787	

b.

#	Account & Explanations	Debit	Credit
1	Depreciation expense (+Expenses, -Shareholders' equity) Accumulated Depreciation (+ Contra Asset, -Assets) <i>Record the adjustment for equipment depreciation</i>	610	610
2	Supplies expense (+Expenses, -Shareholders' equity) Supplies (-Assets) <i>Record supplies expense (\$2,990 - \$1,100 = \$1,890)</i>	1,890	1,890
3	Utilities expense (+Expenses, -Shareholders' equity) Utilities payable (+Liabilities) <i>To record estimated utilities (incurred, but not billed or paid)</i>	390	390
6	Wage expense (+Expenses, -Shareholders' equity) Wages payable (+Liabilities) <i>To record employee wages incurred but not paid</i>	965	965
7	Interest receivable (+Assets) Interest income (+Revenues, +Shareholders' equity) <i>To record interest income earned but not received</i>	300	300

P3-40 (b1, d1) (~ 25 min)

b.

Transaction	Balance Sheet								Income Statement					
	Cash Asset	+	Noncash Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
Apr. 1. Cash received for shares.	+11,500 Cash			=			+11,500 Share Capital				-		=	
Apr. 1. Purchase liability insurance.	-2,880 Cash		+2,880 Prepaid Insurance	=							-		=	
Apr. 2. Purchase truck for cash.	-6,100 Cash		+ 6,100 Truck	=							-		=	
Apr. 2. Purchase equipment.	-1,000 Cash		+3,100 Equipment	=	+2,100 Accounts Payable						-		=	
Apr. 5. Purchase supplies on account.			+ 1,200 Supplies	=	+1,200 Accounts Payable						-		=	
Apr. 5. Cash in advance for roofing repairs.	+1,800 Cash			=	+1,800 Unearned Roofing Fees						-		=	
Apr. 12. Bill customers for services.			+5,500 Accounts Receivable	=			+5,500 Retained Earnings			+5,500 Roofing Fees Revenue	-		=	+5,500
Apr. 18. Collected cash on account.	+4,900 Cash		-4,900 Accounts Receivable	=							-		=	
Apr. 29. Paid cash for fuel.	-675 Cash			=			-675 Retained Earnings				-	+675 Fuel Expense	=	-675
Apr. 30. Paid cash for ads.	-100 Cash			=			-100 Retained Earnings				-	+100 Ad. Expense	=	-100
Apr. 30. paid cash wages.	-2,500 Cash			=			-2,500 Retained Earnings				-	+2,500 Wages Expense	=	-2,500
Apr. 30. Bill customers for services.			+4,000 Accounts Receivable	=			+4,000 Retained Earnings			+4,000 Roofing fees Earned	-		=	+4,000
Totals	4,945	+	17,880	=	5,100	+	11,500	+	6,225	9,500	-	3,275	=	6,225

d.

Balance Sheet											Income Statement					
Transaction	Cash Asset	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
1. Recognise one month of insurance expense.			-120 Prepaid Insurance	-		=					-120 Retained Earnings		-	+120 Insurance Expense	=	-120
2. Recognise supplies expense.			-800 Supplies	-		=					-800 Retained Earnings		-	+800 Supplies Expense	=	-800
3. Recognise depreciation expense – Trucks.				-	+125 Accumulated Depreciation	=					-125 Retained Earnings		-	+125 Depreciation Expense	=	-125
4. Recognise depreciation expense on equipment.				-	+35 Accumulated Depreciation	=					-35 Retained Earnings		-	+35 Depreciation Expense	=	-35
5. Recognise roofing fees earned.				-		=	-450 Unearned Roofing Fees				+450 Retained Earnings	+450 Roofing Fees Earned	-		=	+450
Totals	0	+	-920	-	160	=	-450	+	0	+	-630	450	-	1,080	=	-630

P3-43 (a, items 1,2,3,6,7,8) (~ 20 min)

Balance Sheet											Income Statement					
Transaction	Cash Asset	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
1. Accrue salary expense.				-		=	+720 Salaries Payable				-720 Retained Earnings		-	+720 Salaries Expense		-720
2. Accrue interest expense.				-		=	+200 Interest Payable				-200 Retained Earnings		-	+200 Interest Expense		-200
3. Accrue fees receivable.			+900 Fees Receivable	-		=					+900 Retained Earnings	+900 Printing Revenue	-			+900
4. Accrue maintenance expense.			-400 Prepaid Maintenance	-		=					-400 Retained Earnings		-	+400 Maintenance Expense		-400
5. Accrue ad. Expense.			-300 Prepaid Advertising	-		=					-300 Retained Earnings		-	+300 Ad. Expense		-300
6. Accrue rent expense.				-		=	+160 Rent Payable				-160 Retained Earnings		-	+160 Rent Expense		-160
7. Accrue interest revenue.			+38 Interest Receivable	-		=					+38 Retained Earnings	+38 Interest Revenue	-			+38
8. Accrue depreciation expense.				-	+2,175 Accumulated Depreciation	=					-2,175 Retained Earnings		-	+2,175 Depreciation Expense		-2,175
Totals	0	+	+238	-	2,175	=	1,080	+	0	+	-3,017	938	-	3,955	=	-3,017

P3-47 (b1, d1) (~ 30 min)

b.

Transaction	Balance Sheet								Income Statement					
	Cash Asset	+	Noncash Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
6/1. Investment for ordinary shares.	+24,000 Cash			=			+24,000 Share Capital			-			=	
6/1. Purchase of assets for cash & on account.	-4,400 Cash		+ 11,040 Office Equipment +2,840 Supplies	=	+9,480 Accounts Payable					-			=	
6/2. Pay rent \$875.	-875 Cash		875 Prepaid rent	=										
6/2. Purchase \$930 of advertising in advance.	-930 Cash		+930 Prepaid Advertising	=						-			=	
6/2 Signed research contract.	+6,400 Cash			=	+6,400 Unearned Service Fees					-			=	
6/10. Bill customers for services.			+5,800 Accounts Receivable	=			+5,800 Retained Earnings			+5,800 Service Fees Earned	-		=	+5,800
6/12. Paid salaries.	-3,600 Cash			=			-3,600 Retained Earnings			-		+3,600 Salaries Expense	=	-3,600
6/15. Paid travel expenses.	-1,240 Cash			=			-1,240 Retained Earnings			-		+1,240 Travel Expense	=	-1,240
6/18. Paid postage.	-520 Cash			=			-520 Retained Earnings			-		+520 Postage Expense	=	-520
6/26. Paid salaries.	-3,600 Cash			=			-3,600 Retained Earnings			-		+3,600 Salaries Expense	=	-3,600
6/28. Bill customers for services.			+5,200 Accounts Receivable	=			+5,200 Retained Earnings			+5,200 Service Fees Earned	-		=	+5,200
6/30. Collect service fees.	+7,800 Cash		-7,800 Acts. Rec.	=						-			=	
6/30. Cash dividend paid.	-1,500 Cash			=			-1,500 Retained Earnings			-			=	

d.

	Balance Sheet								Income Statement							
Transaction	Cash Asset	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
a. Recognise supplies expense.			-1,310 Office Supplies	-		=					-1,310 Retained Earnings	-		+1,310 Supplies Expense	=	-1,310
b. Recognise salaries expense.				-		=	+725 Salaries Payable				-725 Retained Earnings	-		+725 Salaries Expense	=	-725
c. Accrue depreciation expense.				-	+115 Accumulated Depreciation	=					-115 Retained Earnings	-		+115 Depreciation Expense	=	-115
d. Recognise advertising expense.			-310 Prepaid Advertising	-		=					-310 Retained Earnings	-		+310 Advertising Expense	=	-310
e. Recognise earned service fees.				-		=	-3,200 Unearned Service Fees				+3,200 Retained Earnings	+3,200 Service Fees Earned	-		=	+3,200

NOTE: Although the question doesn't explicitly ask for it, prepaid rent should also be adjusted to zero on June 30th, and entire \$875 should be recognized as rent expense.

P3-54 (b1, d, f) (~ 35 min)

b.

Transaction	Balance Sheet					Income Statement			
	Cash Asset	+	Noncash Assets	=	Liabilities + Contrib. Capital	+	Earned Capital	Revenues	- Expenses = Net Income
12/1. Investment for ordinary shares.	+20,000 Cash			=			+20,000 Share Capital		- =
12/2. Rent paid in cash.	-1,200 Cash		+1,200 Prepaid rent	=					- =
12/2. Purchase supplies on account.			+1,080 Supplies	=	+1,080 Accounts Payable				- =
12/3. Office equipment bought for 4,700 cash and rest on account.	-4,700 Cash		+9,500 Office Equipment	=	+4,800 Accounts Payable				- =
12/8. Paid for supplies.	-1,080 Cash			=	-1,080 Accounts Payable				- =
12/14. Paid wages in cash.	-900 Cash			=			-900 Retained Earnings		+900 Wages Expense = -900
12/20. Received cash for consulting services.	+3,000 Cash			=			+3,000 Retained Earnings	+3,000 Consulting Revenue	- = +3,000
12/28. Paid wages in cash.	-900 Cash			=			-900 Retained Earnings		+900 Wages Expense = -900
12/30. Bill clients for consulting.			+7,200 Fees Receivable	=			+7,200 Retained Earnings	+7,200 Consulting Revenue	- = +7,200
12/30. Paid cash dividends.	-1,800 Cash			=			-1,800 Retained Earnings		- =

d.

Balance Sheet											Income Statement					
Transaction	Cash Asset	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
Record rent expense			-1,200			=					-1,200			+1,200		-1,200
			Prepaid rent								Retained Earnings		-	Rent Expense	=	
1. Record supplies expense.			-370			=					-370		-	+370	=	-370
			Supplies	-							Retained Earnings			Supplies Expense		
2. Accrue wages expense.						=	+270				-270		-	+270	=	-270
				-			Wages Payable				Retained Earnings			Wages Expense		
3. Record depreciation expense.					+120	=					-120		-	+120	=	-120
				-	Accumulated Depreciation						Retained Earnings			Depreciation Expense		
4. Recognise accrued consulting fees.			+2,250			=					+2,250	+2,250	-		=	+2,250
			Fees Receivable	-							Retained Earnings	Consulting Revenue				

f.

BRUSSELS TAX SERVICES
Income Statement
For the Month of December 2020

Revenue	
Consulting revenue.....	\$12,450
Expenses	
Wages expense.....	\$ 2,070
Rent expense.....	1,200
Supplies expense.....	370
Depreciation expense.....	120
Total expenses.....	<u>3,760</u>
Net income.....	<u>\$ 8,690</u>

BRUSSELS TAX SERVICES
Statement of Changes in Equity
For the Month of December 2020

	Share Capital	Retained Earnings	Total Equity
Balance at December 1, 2019.....	\$0	\$0	\$0
Share issuance	20,000		20,000
Dividends		(1,800)	(1,800)
Net income	<u> </u>	<u>8,690</u>	<u>8,690</u>
Balance at December 31, 2020.....	<u>\$20,000</u>	<u>\$6,890</u>	<u>\$26,890</u>

BRUSSELS TAX SERVICES
Balance Sheet
December 31, 2020

Assets		Liabilities and Equity	
Cash	\$12,420	Accounts payable	\$ 4,800
Fees receivable	9,450	Wages payable	<u>270</u>
Supplies	<u>710</u>	Total liabilities	5,070
Total current assets	22,580		
Office equipment	\$ 9,500	Equity	
Less: Accum. Dep.	<u>120</u> <u>9,380</u>	Share Capital	20,000
		Retained earnings	<u>6,890</u>
Total assets	<u>\$31,960</u>	Total liabilities and equity	<u>\$31,960</u>

Please notice that the balance sheet separates the office equipment (cost) from the accumulated depreciation for office equipment. The net amount is still shown on the balance sheet at \$9,380. Organizations don't always show this separation on the balance sheet, but disclose it in the notes to the financial statements.